

6. Career risk

There is a tendency for agents—that's the economist's term for people who operate on behalf of others—to manage risk very conservatively. Take fewer chances.

Don't do anything that might make you look foolish or get you fired. This turns out to be a prudent way to manage your career, but a poor way to run money. Gains require some risk, which is why agents' own interests may not be those of their clients.

You don't have these conflicts. You won't get fired for admitting a mistake. You don't have to stress about temporary drawdowns or buying something that runs into a hiccup soon after. You can do unpopular things that look dumb in the short term but are money-makers in the long term.

The pros have a very specific set of measurements by which their performance gets judged. Unlike the pros, you get to set your own metrics for assessing how well you are doing. That means you first must figure out what your long-term financial goals are and then create a plan to achieve your objectives. You get to measure your success by seeing if you are on track to achieve those goals. This is another enormous advantage you have over the professional stock jockeys.

You *can* beat the pros—but instead of playing their game, with all of the home-field advantages they have, try playing a game of your own choosing.



A good way for investors to avoid all of the mistakes we detail in this book is to create a financial plan and then stick with it. Next, we look at how.

[397](#) Barry Ritholtz, “How you, the amateur investor, can beat the pros,” *The Washington Post* (November 8, 2015).

[398](#) Jason Zweig, Charles Ellis, “Wall Street’s Wisest Man getting rich off stocks is simple, says Charles Ellis. Here’s how,” *CNN Money* (June 1, 2001).

[399](#) Barry Ritholtz, “No matter what, the long-term investor comes out ahead of the short-term trader,” *The Washington Post* (August 10, 2014).